

Khaitan & Co, highlights other positives, including provisions on strikes and lockouts. “On strikes, the prior 60-day notice has been brought in. This used to exist only for public utility services or essential services but is now applicable for the entire industry,” he says. The Codes streamline what was scattered across different statutes for several years, he says.

Industry is happy with the Codes, says Rajiv Memani, President of the Confederation of Indian Industry. “The government has addressed the industry’s demand for simplified compliance while making the framework inclusive and equitable by extending vital benefits to permanent, gig, and women workers alike,” he said.

Though there were some concerns about the payment of social security and keeping basic salary at 50% of compensation, this was necessary, says TV Mohandas Pai, Chairman, Aarin Capital and former CFO of Infosys. “Many companies were trying to give higher allowances to ensure employees had cash in hand... People are living longer and need money for retirement,” Pai says.

However, not everybody is enthused by the changes. Several trade unions have opposed the Codes, calling them anti-worker. “The Codes are pro-employer with provisions to weaken trade unions,” says Amarjeet Kaur, General Secretary of the All India Trade Union Congress, which is associated with the Communist Party of India. She contends that the labour ministry held few discussions on the Codes.

Provisions of 12-hour work, minimum wages and enabling women to work at night have also raised concerns and 10 central trade unions have planned a nation-wide strike against the Codes in February.

Other trade unions, though, have come out in support, accusing those opposing the Codes of being politically motivated. Hiranmay Pandya, President of the Bharatiya Mazdoor Sangh (BMS), which is affiliated to the Rashtriya Swayamsevak Sangh, says, “We are of the view that the Codes will benefit workers, which is why we and other unions have supported them,” he says.

Pandya notes that provisions like universal social security, recognition of gig workers and employment letters to all, including those under fixed-term employment are pro-worker. The BMS does have some concerns and is in talks with the labour ministry, which has assured that rules will be drafted to benefit workers.

It’s not just unions, small businesses, too, aren’t very pleased. The MSME lobby, Association of Indian Entrepreneurs (AIE), has expressed serious concerns that the Codes could significantly increase operating costs for small firms and disrupt business continuity.

THE FLASHPOINTS

- ▶ **Employers looking into possible salary restructuring, payment of gratuity**
- ▶ **Await more clarity on rules finalised by Centre and states to assess compliance burden**
- ▶ **Trade unions worried that the provisions will weaken their right to strike**
- ▶ **Enhanced retrenchment threshold of 300 workers, higher threshold for factory licence would weaken legal protection for workers**
- ▶ **Overtime rules, women working in night shifts, low floor level wage are some of the other concerns**

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In particular, the AIE has expressed reservations about the improved social security net for workers, which, it says, will result in a sharp increase in employee-related expenditure for thousands of micro and small enterprises. “Many MSMEs may be forced to restructure workforce size, absorb higher social security payouts, invest in safety equipment and periodic medical checks and upgrade HR systems to comply with the new digital requirements,” said KE Raghunathan, National Chairman of the AIE. Though these are good measures, Raghunathan says, there needs to be more clarity, financial support during the transition, and a flexible implementation mechanism to help MSMEs.

IMPLEMENTATION CHALLENGE

Now, the Centre and states need to frame rules since labour falls in the Concurrent List of the Constitution. Plus, the digital infrastructure has to be rolled